Securities Legislation

Financial Markets Act: Insider Trading and Market Manipulation

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Always keep in mind the context…

Things are currently in a state of relative ‘flux’, for changes are surely coming…#COFI

8:00

Always keep in mind the context:

- **Changes?**
  - **COFI Bill**
  - **Prudential Authority**
    - Gaining a foothold; becoming more influential
  - **Financial Markets Act Review**
    - Financial Markets Implementation Committee
  - **Issue:**
    - Both of these have been in the 'works' for a good few years; likely to see changes and ammendments tabled during this regulatory cycle (perhaps even this year).
    - Potential for disruption!
      - **Over-The-Counter Derivatives in particular**

unregulated / minority-regulated in SA for a long time

Increasing Levels of Enforcement
Financial Markets Act

DAILY MAVERICK

BUSINESS MAVERICK

BUSINESS MAVERICK

FSCA cleared to go global and pursue R50m fine for Viceroy over Capitec report

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Increasing Levels of Enforcement
Financial Markets Act

- JSE Market Regulation Division:
  - Detect unusual trading volumes and price movements
- FSB DMA (Directorate of Market Abuse) investigate and enforce market abuse offences but now subsumed into FSCA
- If FSCA finds that the FMA has been contravened it has various avenues available to refer the matter to:
  - Enforcement Committee for enforcement action to be instituted against the offender;
  - National Prosecuting Authority for criminal prosecution;
  - Court application for a court interdict or attachment order for matters in Chapter X of FMA. limit trading + transfer of shares

Insider Trading

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Insider Trading

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- Currently Prohibited…*but should it be?*
  - Why is there a prohibition against insider trading?
    - Reasons:

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      - Global competition
      - Market efficiency
      - Fair markets
      - Loss of person on other side of transaction
  - What about a deregulated environment (i.e. *allowing insider trading*?)
    - Strong *theoretical* justifications:
      - Efficiency
      - *Real* pricing reflected in market activity – especially from executives
    - Strong legal/policy justifications:
      - Problems of legal enforcement

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Insider Trading

- Two Elements:
  1. The 'Person' – "*Insiders*"
     - Defined as *"as any person who has access or has been given access to inside information."*
     - Typically involves:
       - *People in positions of power (i.e. executives, board members);*
       - *Friends and Close relatives (i.e. connected persons)*
       - *Clients*
       - *Family Trusts*
  2. The Information
     - Material (i.e. information that ***could*** have a major impact on forming a price in a regulated market)
     - *Public vs Non-Public*
     - Relating directly or indirectly to the issuer of stocks or financial instruments (i.e. specific and precise/not a market rumour)

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Insider Trading – Criminal Theories of Liability

- **Classical Theory**
  - Applies when an **insider** (e.g., a company executive) trades on **material, non-public information** in violation of a **fiduciary duty** to the company's shareholders.
  - The insider must either **disclose the information or abstain from trading**.
  - Liability only arises if the trader is an **insider or a tippee** of an insider.
- **Tipper-Tippee Theory**
  - Extends liability to those who receive and act on insider information.
  - A tipper (the source of the information) is liable if they **breach their fiduciary duty** and receive a **personal benefit** for sharing the information.
  - A tippee (the recipient) is liable if they **know or should know** that the tipper breached their duty and use the information for trading.
- **Misappropriation Theory**
  - Covers individuals who are **not company insiders** but have access to confidential information and misuse it for trading.
  - Breaches a **duty of trust or confidence** owed to the information's source, rather than to shareholders.
  - Includes individuals who receive information through **contractual, fiduciary, or other confidential relationships**.
- **Outsider Trading? 'Affirmative Misprepresentation'?**
  - *SEC v. Mark Cuban (2013)*

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Insider Trading: Offences

Section 78 of the Financial Markets Act

1:10:00 KNOW THESE

Insider Trading for Personal Account (Section 78(1)(a)):	An insider who knowingly possesses inside information and trades directly or indirectly, or through an agent, for their own account in securities listed on a regulated market or in derivative instruments related to such securities, commits an offence.
Insider Trading on Behalf of Another (Section 78(2)(a)):	An insider who, while aware of possessing inside information, trades directly or indirectly, or through an agent, on behalf of another person in the relevant securities or related derivatives, commits an offence.
Dealing for an Insider (Section 78(3)(a)):	Any person who trades on behalf of an insider, knowing that the individual is an insider, in the pertinent securities or related derivatives, commits an offence.
Unlawful Disclosure of Inside Information (Section 78(4)(a)):	An insider who discloses inside information to another person, knowing its nature, commits an offence.
Encouraging or Discouraging Trading Based on Inside Information (Section 78(5)):	An insider who encourages or causes another person to trade, or discourages or prevents another person from trading, in the relevant securities or related derivatives, commits an offence.

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Insider Trading: Defences

Section 78 of the Financial Markets Act

1. Insider Trading for Personal Account (Section 78(1)(a))

- ✅ **Defence:** The accused may prove that the trade was:
  - Based on **publicly available information** at the time of execution.
  - Part of a **pre-existing contractual obligation**, such as an automated trading plan.
  - Executed **without knowledge** of the inside information at the time of the trade.

2. Insider Trading on Behalf of Another (Section 78(2)(a))

- ✅ **Defence:** The accused may argue that:
  - They acted **as an agent** without personal benefit and had no **discretion over the trade**.
  - The transaction was executed **before** they became aware of inside information.

3. Dealing for an Insider (Section 78(3)(a))

- ✅ **Defence:** The individual who facilitated the trade may claim that:
  - They **did not know** that the person on whose behalf they traded was an insider.
  - They acted in **good faith** based on public information or routine trading decisions.

4. Unlawful Disclosure of Inside Information (Section 78(4)(a))

- ✅ **Defence:** The accused may defend themselves by proving that:
  - The disclosure was made **in the proper course of their employment, profession, or duties** (e.g., legal, financial, or regulatory disclosures).
  - The information was already **public knowledge** at the time of disclosure.
  - The disclosure was **necessary** to fulfil a **legal or regulatory requirement**.

5. Encouraging or Discouraging Trading Based on Inside Information (Section 78(5))

- ✅ **Defence:** The accused may argue that:
  - The recommendation to trade (or not to trade) was made **without reference to inside information**.
  - They acted in **good faith** and in the normal course of their professional role, such as financial analysts or brokers making routine recommendations.

Insider Trading: Penalties

The Financial Markets Act & FSCA

Enforcement and Discretion

- Penalties are determined by the **FSCA Enforcement Committee**, unlike prior legislation that set fixed penalties.
- **Discretion** but follows **specific guidelines** when imposing penalties.

Penalty Guidelines

- **Profit Made or Loss Avoided**
  - The penalty is based on **financial gain** from insider trading or the **loss prevented**.
- **Up to 3x the Profit or Loss Avoided**
  - The FSCA may impose a fine **up to three times** the amount of unlawful gains or avoided losses.
- **Interest and Investigation Costs**
  - Penalties may include **interest on the amount gained** and the **costs of investigation and enforcement**.
- **Joint and Several Liability for Tippees**
  - If inside information was **shared and used by others**, both the **tipper and tippee** can be held **jointly and severally liable**.
  - The full penalty can be **recovered from any guilty party**.

Additional Consequences

- **Criminal prosecution**, potentially leading to **imprisonment or additional fines**.
- Companies may **pursue civil claims** against insiders for damages.

Insider Trading: Practical Example

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Sarah is a senior investment analyst at a large asset management firm. As part of her research, she meets with executives of Africore Energy, a publicly listed company, to gather insights for her valuation report. During the formal discussions, company executives and directors provide insights into general industry trends, operational challenges, and future growth projections. **They do not disclose any non-public, material information such as undisclosed earnings, pending mergers, or regulatory actions**.

Sarah incorporates several pricing factors into her valuation, including:

- publicly available financial statements and earnings reports;
- commodity price trends affecting energy production costs;
- recent regulatory changes impacting operating margins;
- performance of key competitors in the same market segment; and
- macroeconomic indicators, such as inflation rates and currency fluctuations.

However, during a break, one of the directors takes a phone call within earshot of Sarah and other analysts. In the call, he discusses the foundations of a potential acquisition (i.e. the price to be paid, and how the acquisition could function in principle.) After ending the conversation, the director casually explains that the company is exploring strategic expansion opportunities but does not provide any specifics on the acquisition target, deal timeline, or financial structure.

Using this **mosaic of information**, she issues a **"Buy" recommendation** to clients, stating that Africore Energy's stock is undervalued. She includes in her valuation report **'a strong probability that Africore Energy is positioning itself for expansion'**. Shortly after her report is published, the stock price rises significantly, possibly due to increased speculation.

Market Manipulation

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Market Manipulation – Definition

Typically doesn't happen with big companies

Market manipulation is ***conduct*** designed to deceive investors by controlling or artificially affecting the price of securities. Manipulation is illegal in most cases, but it ***can be difficult for regulators*** and other authorities to detect and prove.

- **Regulatory Challenges: *"Detect & Prove"***
  - Size of market and number of participants?
  - Complexity of market forces and context of securities?
    - ***Practical Note:*** It is easier for one to manipulate the prices of the stock of a small company, like a penny stock than large corporates.
  - Relevance of market forces?

    relying on mkt forces to benefit self

Market Manipulation – Key Elements

Manipulative, Improper, or Deceptive Trading Practices	• Market manipulation involves any trading activity designed to deceive investors by creating a **false or misleading appearance of market activity**, price stability, or supply and demand. • The FMA prohibits practices that misrepresent actual market conditions.
Creating a False Market or Artificial Price	• A false market occurs **when prices do not reflect genuine supply and demand dynamics**, often due to coordinated or deceptive trading practices. This leads to artificial price inflation or deflation, impacting investors who believe they are trading in a fair market.
The Requirement of Intention	• Market manipulation rests entirely on intention—a trader must knowingly engage in practices intended to mislead others. Unlike ordinary trading, where prices fluctuate due to normal market forces, manipulation **involves deliberate actions** to influence price or trading volume.

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Pump & Dump

- Fraudsters artificially inflate stock prices through false information.
- Investors buy in, pushing the price higher.
- Manipulators then sell at the peak, leaving other investors with losses.

Poop & Scoop

- False negative news is spread to deflate stock prices.
- Manipulators purchase undervalued shares and profit when prices recover.

Order Spoofing

- Placing large buy or sell orders to influence prices, then cancelling them.
- Also refers to creating a ***'flurry of activity'*** to drive interest/ making trades in ***rapid succession*** to influence market perception.

Short & Distort

- Spreading false negative information to drive prices down for short-selling profit.

Wash Trading

- Traders execute buy and sell orders with themselves or colluding parties, creating the illusion of market activity.
- A trader buys shares from one account and sells them to another account they control, falsely increasing trading volume.

Ramping

- Buying or selling at successively higher or lower prices; *typically associated with the close of markets* to give an impression of rising/falling demand.

Marking the Close

- Manipulating a security's price in the final minutes of trading to impact the ***daily closing price***, which many institutional investors use to make investment decisions

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Market Manipulation – Penalties

Penalties

- Administrative Penalties & Regulatory Bans *(FSCA Enforcement)*
- Criminal Liability under the FMA
- Civil Liability
- Reputational Damage

Market Manipulation – Penalties

FSCA Enforcement

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Administrative Penalties & Regulatory Bans

The FSCA has **discretionary powers** to impose penalties based on the financial impact of market manipulation.

- The penalties are calculated based on:
  1. The amount of **profit made or loss avoided** due to the manipulative trading practices
  2. **Up to three times the profit gained or loss avoided** as an additional deterrent. 3x
  3. **Interest and investigation costs** incurred by the FSCA while prosecuting the offence.
  4. **Joint and several liability** – if multiple parties are involved in market manipulation, any of them can be required to pay the full penalty amount.

The FSCA may also:

- Ban individuals or firms from trading in South African financial markets.
- Revoke licences for financial service providers found guilty of market abuse.
- Blacklist individuals, preventing them from working in regulated financial services.

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Market Manipulation – Penalties

Criminal Liability

The ***criminal penalties*** for market manipulation under the FMA include:

- Fines imposed by a court, which can be significant depending on the severity of the offence.
- Imprisonment for individuals convicted of serious market manipulation, particularly where fraud is involved.
- Referral to the National Prosecuting Authority (NPA) for further criminal prosecution.

The FSCA may pursue **BOTH** ***administrative penalties and criminal prosecution*** simultaneously in severe cases.

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Market Manipulation – Penalties

Civil Liability & Reputational Damage

Civil Liability

- Investors who suffer losses due to market manipulation may sue for damages under the FMA.
- Courts may order disgorgement of profits, meaning offenders must return any unlawful gains.
- Companies affected by manipulation may also pursue legal action against traders or firms that engaged in deceptive practices

Reputational Damage

- Financial professionals involved in market manipulation may be barred from the industry permanently.
- Firms and individuals found guilty face severe reputational harm, losing investor trust and potential business opportunities.
- Market abuse findings may lead to further regulatory scrutiny and financial restrictions.

Key Learning:
These can be extremely ‘punishing’ on those who are found liable.

Be careful – simply because these are not criminal does not make them any less serious or potentially severe!

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~~Insider Trading~~: Practical Example

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Lesedi is a senior trader at a large Johannesburg-based hedge fund. His firm regularly trades shares in Innovate Tech Ltd, a JSE-listed company specialising in artificial intelligence and automation solutions.

During his analysis, Lesedi identifies that the company's stock has been trading in a narrow price range. He also notes that upcoming regulatory approvals for AI-driven financial services could positively impact the company's growth prospects.

To take advantage of this anticipated price movement, Lesedi executes a series of trades incorporating multiple pricing factors, including:

- market liquidity and current bid-ask spreads;
- historical trading patterns and price resistance levels;
- anticipated industry-wide regulatory changes; and
- general investor sentiment towards tech and AI-leveraged stocks.

However, during the last 30 minutes before market close, David and his colleagues at the hedge fund place a series of aggressive buy orders at incrementally higher prices to push up the stock's closing price. The next day, analysts and algorithmic trading systems react to the artificially inflated closing price, leading to an increase in investor interest and additional buying pressure. At the market open, Innovate Tech Ltd's stock opens at a significantly higher price than the previous day's trading session.

David's firm, having already established large long positions in the stock, takes advantage of the price increase and begins selling shares at the artificially high prices, locking in substantial profits before the stock price normalises.

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Thank You